

ACCTG 211H — Mechanics Drill Set (Answer Key)

Week 7 — The Statement of Cash Flows, Receivables, and Inventory

Drill Set

Quick, single-skill reps to build mechanical fluency before the week's first class. Graded for **completion** — work each one by hand, then check it against the key that follows and re-do any you missed.

1. (*Operating cash flow, indirect method.*) Net income is \$60,000. For the year: depreciation \$10,000; accounts receivable increased \$8,000; inventory decreased \$3,000; accounts payable increased \$5,000. Compute cash flow from operations.
2. (*Classify the cash flows.*) Classify each as operating, investing, or financing: (a) cash paid to purchase equipment; (b) cash received from issuing stock; (c) cash collected from customers; (d) cash paid for dividends; (e) cash paid for interest; (f) cash received from selling a building.
3. (*Direction of the adjustment.*) In the indirect method, state whether each is **added to** or **subtracted from** net income: (a) increase in accounts receivable; (b) decrease in prepaid expenses; (c) increase in accounts payable; (d) increase in inventory.
4. (*Bad debt expense.*) Ending accounts receivable is \$200,000; the firm estimates 5% will be uncollectible. The Allowance for Doubtful Accounts has a \$3,000 credit balance before adjustment. Compute bad debt expense and record the adjusting entry.
5. (*Write-off.*) The firm writes off a specific \$1,200 uncollectible account. Record the entry and state the effect on the net realizable value of receivables.
6. (*Inventory — FIFO.*) Beginning inventory is 100 units at \$11. Purchases during the year are 200 units at \$12, then 100 units at \$15. The firm sells 250 units. Compute cost of goods sold and ending inventory under FIFO.
7. (*Inventory — weighted average.*) Using the same data as Drill 6, compute cost of goods sold and ending inventory under the periodic weighted-average method.
8. (*Lower of cost or net realizable value.*) Inventory is carried at a cost of \$40,000; its net realizable value is \$37,000. Record any required adjustment and state the resulting carrying value.

Self-Check Answers

1. **Operating cash flow.** $\text{CFO} = 60,000 + 10,000 \text{ (depreciation)} - 8,000 \text{ (A/R increase)} + 3,000 \text{ (inventory decrease)} + 5,000 \text{ (A/P increase)} = \text{\$70,000}$.
2. **Classification.** (a) investing; (b) financing; (c) operating; (d) financing; (e) operating (U.S. GAAP); (f) investing.
3. **Direction.** (a) subtract; (b) add; (c) add; (d) subtract.
4. **Bad debt expense.** Desired allowance $= 200,000 \times 5\% = \$10,000$. Existing credit balance $= \$3,000$, so expense $= 10,000 - 3,000 = \$7,000$. Entry: Dr Bad Debt Expense \$7,000; Cr Allowance for Doubtful Accounts \$7,000.
5. **Write-off.** Dr Allowance for Doubtful Accounts \$1,200; Cr Accounts Receivable \$1,200. Net realizable value is **unchanged** (gross receivables and the allowance both fall by \$1,200).
6. **FIFO.** Units available $= 400$; sold 250; ending 150. COGS (first in) $= 100 \times 11 + 150 \times 12 = 1,100 + 1,800 = \text{\$2,900}$. Ending inventory $= 50 \times 12 + 100 \times 15 = 600 + 1,500 = \text{\$2,100}$. (Check: $2,900 + 2,100 = \$5,000$ total cost.)
7. **Weighted average.** Total cost $= \$5,000 \div 400 \text{ units} = \12.50 per unit . COGS $= 250 \times 12.50 = \text{\$3,125}$. Ending inventory $= 150 \times 12.50 = \text{\$1,875}$.
8. **Lower of cost or NRV.** Write down \$3,000 ($40,000 - 37,000$): Dr Cost of Goods Sold (or Loss on Inventory Writedown) \$3,000; Cr Inventory \$3,000. Carrying value $= \text{\$37,000}$.